

Corporate Finance

Mumbai University Course Syllabus

Module 1: Introduction to Corporate Finance

- Definition, scope, and objectives of Corporate Finance
- Profit Maximization vs. Wealth Maximization goals
- Risk-Return Tradeoff and agency problems in financial management

Module 2: Time Value of Money

- Concepts of future value, present value, and annuities
- Compounding and discounting techniques
- Applications to bond and stock valuation

Module 3: Capital Budgeting Decisions

- Capital budgeting process and significance
- Non-Discounting methods: Payback Period, Accounting Rate of Return
- Discounting methods: Net Present Value (NPV), Internal Rate of Return (IRR), Profitability Index

Module 4: Cost of Capital & WACC

- Computation of cost of individual components: equity, debt, preference shares
- Weighted Average Cost of Capital (WACC) and marginal cost of capital
- Capital structure determinants and theories

Module 5: Working Capital Management

- Operating cycle and cash cycle concepts
- Estimating working capital requirements
- Management of Cash, Receivables, Payables, and Inventory

Module 6: Dividend Policy and Decisions

- Determinants of dividend payouts
- Walter's model, Gordon's model, and Miller-Modigliani (MM) hypothesis
- Types of dividends: cash dividend, stock dividend (bonus shares)